NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, COURT-IV

COMPANY PETITION NO. (CAA)-72 (ND)/2020
IN
COMPANY APPLICATION NO. CA (CAA)-177(ND)/2019

IN THE MATTER OF:

SECTION 230 to 232 OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

Saruchi Enterprises Private Limited

... Petitioner No.1 /Transferor Company

AND

Evernew Software Solutions Private Limited

...Petitioner No.2/Transferor Company

AND

Hornbill Breweries Private Limited

...Petitioner No.3/Transferor Company

AND

San Aerospace Limited

...Petitioner No.4/Transferor Company

AND

Saurabh Tradecom Private Limited

...Petitioner No.5/Transferor Company

WITH

PSAV Marketing Private Limited

...Petitioner No.6/Transferee Company

4/12/22

ORDER DELIVERED ON : 04. 02 .2022

CORAM:

SH. DHARMINDER SINGH, HON'BLE MEMBER (JUDICIAL)
MS. SUMITA PURKAYASTHA, HON'BLE MEMBER (TECHNICAL)

ORDER

PER SHRI DHARMINDER SINGH, HON'BLE MEMBER (J)

This Petition is preferred jointly by the Transferor Companies and Transferee Company under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. Saruchi Enterprises Private Limited, (hereinafter referred to as "Petitioner-1/Transferor Company-1") was incorporated on 21.09.1995 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at N-37, Greater Kailash, Part-I, New Delhi-110048 with CIN number U51103DL1995PTC072629.

3. Evernow Software Private Limited, (hereinafter referred to as "Petitioner-2"/"Transferor Company-2") was incorporated on 10.02.2000 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at DT-4, IIIrd Floor, Plot No. 13, Bansal Plaza, Commercial

Complex, Sector-6, Dwarka, New Delhi-110075 with CIN number U72900DL2000PTC103692.

4. Hornbill Breweries Private Limited, (hereinafter referred to as "Petitioner-3"/"Transferor Company-3") was incorporated on the 14.02.2008 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at DT-4, IIIrd Floor, Plot No. 13, Bansal Plaza, Commercial Complex, Sector-6, Dwarka New Delhi-110075 with CIN number U15531DL2008PTC174057.
5. San Aerospace Limited, (hereinafter referred to as "Petitioner-4"/"Transferor Company-4") was incorporated on the 20.09.2011 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at N-37, Greater Kailash, Part-I, New Delhi-110048 with CIN number U35990DL2011PLC225232.
6. Saurabh Tradecom Limited, (hereinafter referred to as "Petitioner-5"/"Transferor Company-5") was incorporated on the 04.06.1993 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at N-35, Greater Kailash, Part-I, New Delhi-110048 with CIN number U51900DL1993PLC053918.
7. PSAV Marketing Private Limited, (hereinafter referred to as "Petitioner-6"/"Transferee Company") was incorporated on the 01.10.2015 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at DT-4, IIIrd Floor, Plot No. 13, Bansal Plaza, Commercial Complex, Sector-6, Dwarka New Delhi-110075 with CIN number U74900DL2015PLC285912.

8. That the present Petition has been filed jointly by all the Transferor Companies and Transferee Company. **All the 'Transferor' and 'Transferee' Companies together are called 'Petitioner Companies' hereinafter**. That the Registered offices of all the Companies being in Delhi, the jurisdiction lies with this Bench.

9. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Companies. This Tribunal, vide Order dated 06.03.2020 passed in First Motion Application bearing No. CA (CAA) No.177 (ND) 2019 dispensed with the requirement of convening the meetings of the equity shareholders and unsecured creditors of all applicant companies. None of the Applicant Companies has any secured creditor.

10. The Appointed date as fixed for the Proposed Scheme of Amalgamation is 01.04.2019.

11. Subsequent to the order of dispensation of meetings in relation to all the Transferor Companies and Transferee Company, the Second Motion petition was moved by the Petitioner Companies in connection with the scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, Reserve Bank of India and to such other Objector(s), if any, and also for publication of the said Scheme. The said petition was admitted and directions were issued, vide Order dated 16.12.2020 of this Tribunal, requiring the Applicant Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi &

Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, and also to carry out necessary publication in English and Hindi newspapers with respect to the said Scheme.

12. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners duly filed an Affidavit of Service by confirming that the aforesaid Notices of the present Company Petition were published on 08.01.2021 in Business Standard (English) and Jansatta (Hindi) newspapers. It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities.

13. It is submitted by the Petitioner Companies that the Official Liquidator has filed its report dated 17.03.2021 in which it has stated that it has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner and that the affairs of the Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public.

14. The Regional Director has filed its report dated 17.02.2021 in which following observations has been made:

"a. refer to clause 10(c) of the Scheme, the Transferee Company shall comply with section 232 (3)(i) of the Companies Act, 2013 and pay difference fee on consolidated authorized share capital of Transferee Company, after setting off the fee already paid by Transferor Companies on their respective capital. The Transferee Company may kindly be directed to include the said clause in the Scheme.

b. The Petitioner Companies have not attached have not attached copy of order of Hon'ble Tribunal regarding dispensation of meetings of shareholders, secured/unsecured creditors, hence, no comments are furnished in this regard.

c. It has been mentioned in clause (j) of Financial Statements of the Transferor Company No. 1 that the Non-current Investment are accounted at cost, however, in contrary, the Company has shown the non-current investment of 1,90,000 shares of face value of Rs. 10 each at price of Rs. 1,21,50,000/- which is more than cost price.

d. The same modus-operandi as referred in point no-3 are also adopted by all other Transferor Companies

e. Further, as per Schedule III of the Balance Sheet, investment carried other than at cost should be separately stated specifying the basis for valuation thereof but the Petitioner Companies have not specified the same.

f. As per note 22 of the Financial Statement of Transferor Company No-5, balance confirmation have not been received from some of the parties showing debit/credit balances. Hence, Financial Statements are not true & fair."

15. The petitioner company no. 1 have filed its reply dated 05.07.2021 and submitted that the word "cost" as stated in the auditor's report means 'cost of acquisition' and also submitted as follows:

" 3. That I also wish to submit & state that pursuant to para 4 of the Scheme of Amalgamation read with the provisions of Section 233(9) of the Companies Act, 2013, any non-compliances & penal consequences with regard to transferor companies could be taken by the Department/Authorities even after the merger scheme is sanctioned & implemented."

16. Despite service of notice no reply has been filed by the Income Tax Department. In terms of Section 230(5) of the Companies Act 2013, all Authorities are required to file their representations, if any, within 30 days from the date of receiving of notice failing which, it shall be presumed that they have no representations to make on the proposals. Therefore, it will be presumed that the department has no representation to make against the proposed Scheme of merger.

17. However, in order to protect the interest of tax revenue, it is made clear that there shall be no impediment on the power and jurisdiction of the Income Tax Department in recovery of pending Income Tax dues, penalties etc., if any, as provided in the law.

18. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. **Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Companies and Transferee Company (the Applicant / Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

19. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

20. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Additional fees upon increase in Share Capital of the Company, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

21. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Transferor companies and Transferee company, that:

(i) All the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All the property, rights and powers of all the transferor companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.

(iii) All contracts of all the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of all the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of all the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against all the Transferor Companies be continued by or against the Transferee Company.

(vii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary

22. The Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to all the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

23. The Company Petition is **ALLOWED** in the above terms.

-Sd-

(SUMITA PURKAYASTHA)
MEMBER (T)

-Sd-

(DHARMINDER SINGH)
MEMBER (J)